

What Is the Goal of Implementation?

Implementation is the process of determining suitable appropriate trading strategies and adaptation tactics that will result in best execution. Unfortunately, it is not possible for investors to pre-evaluate and determine the best way to execute a position under all possible scenarios, but investors can develop rules and guidelines to make these tasks quicker, easier, and more efficient during trading.

In Wayne Wagner's terminology,

Implementation is the Journey to Best Execution.

UNBUNDLED TRANSACTION COST COMPONENTS

We have identified ten distinct transaction cost components: commissions, taxes, fees, rebates, spreads, delay cost, price appreciation, market impact, timing risk, and opportunity cost. These are described below following the definitions in Kissell (2003, 2006).

1. Commission

Commission is payment made to broker-dealers for executing trades and corresponding services such as order routing and risk management. Commissions are commonly expressed on a per share basis (e.g., cents per share) or based on total transaction value (e.g., some basis point of transaction value). Commission charges may vary by:

- i. Broker, fund (based on trading volume), or by trading type (cash, program, algorithms, or DMA).
- ii. Trading difficulty, where easier trades receive a lower rate and the more difficult trades a higher rate. In the current trading arena commissions are highest for cash trading followed by programs, algorithms, and DMA.

2. Fees

Fees charged during execution of the order include ticket charges assessed by floor brokers, exchange fees, clearing and settlement costs, and SEC transaction fees. Very often brokers bundle these fees into the total commissions charge.

3. Taxes

Taxes are a levy assessed based on realized earnings. Tax rates will vary by investment and type of earning. For example, capital gains, long-term